

The impact of changing interest rates

If interest rates fluctuated all the time, the economy would become volatile. This is why the government and central bank work together to keep inflation and interest at stable rates. Every time the interest rate is changed, it sends a signal to society to either spend or save—and may also increase or decrease confidence in the state of the economy. A rise in interest rates encourages saving, since higher interest will be paid on money in savings accounts, and investments can grow. Meanwhile, borrowing becomes less attractive as interest repayments are steeper, and banks more

selective about whom they lend to. This impacts the affordability of obtaining or repaying an existing loan, such as a mortgage. By contrast, a drop in interest rates is intended to cause an increase in spending, since borrowers are able to take out loans more cheaply. For those with mortgages tracking the base rate, interest repayments will drop. At the same time, savers will tend to spend or invest deposits that are attracting little interest. While discouraging saving through very low interest rates might stimulate the economy, this can ultimately negatively impact long-term savings plans, such as pensions.

When interest rates are raised

Higher interest rates make loans less affordable, while high interest on savings accounts encourages saving rather than spending. As spending slows, so does the economy, with demand for goods and services decreasing. This eventually affects businesses and employment levels.

